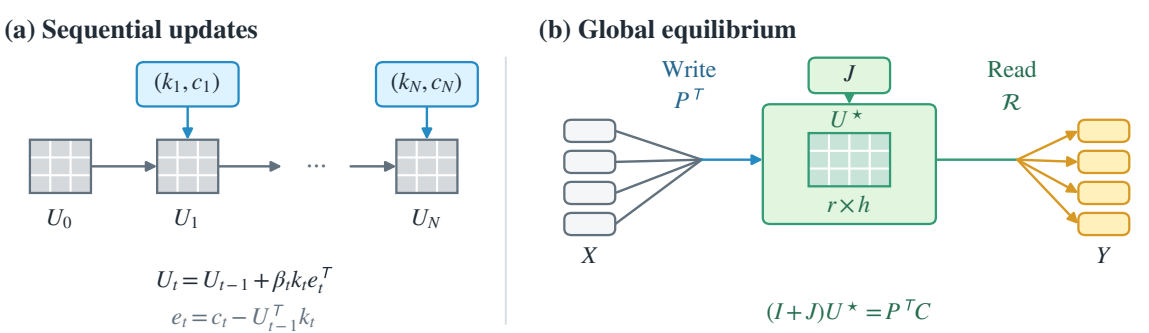
(a) Sequential updates
(k_1, c_1)
(k_N, c_N)
U_0
U_1
U_N
$U_t = U_{t-1} + \beta_t k_t e_t^T$
$e_t = c_t - U_{t-1}^T k_t$
(b) Global equilibrium
Write
P^T
J
$U^\star$
$r \times h$
Read
$\mathcal{R}$
X
Y
$(I+J)U^\star = P^T C$